

When AI Replaces CRM: Rethinking Salesforce's Role in the U.S. SaaS Industry

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I. Research Statement

The U.S. software publishing industry (NAICS 513210) is undergoing a fundamental transformation in how value is created and captured. Firms have traditionally relied on cloud-based, subscription-driven software models, with customer relationship management (CRM) systems serving as systems of record that store and analyze enterprise data, and have competed primarily on product features and user adoption.

The quick advancement of artificial intelligence, particularly generative AI and autonomous agents, is challenging this model. AI is shifting software from a tool that supports user decision-making to a system capable of executing tasks independently, moving value creation away from data management and toward execution capability. This shift brings considerable uncertainty for incumbent CRM providers whose value proposition has historically depended on organizing and monetizing customer data.

This report examines how the rise of artificial intelligence-driven execution platforms is redefining value capture in the U.S. software publishing industry. The central argument is that, compared with firms that remain focused on traditional SaaS delivery, companies that successfully transition into integrated execution platforms based around AI are more likely to sustain superior long-term performance. Salesforce is selected as a representative firm-level case to assess whether its current business model can sustain value capture in an AI-driven environment.

II. Macro-Analysis: PEST Framework

Political Factors

Political and regulatory conditions greatly shape the development of AI-powered platforms in the software publishing industry. Regulatory concerns regarding data privacy, cybersecurity, and responsible AI governance are becoming more prominent as software publishers integrate AI into enterprise systems, particularly in CRM, where platforms manage sensitive customer information. IBISWorld (2026) indicates that government demand is anticipated to grow as agencies confront rising cybersecurity challenges and modernize legacy systems, creating opportunities for providers of scalable, AI-enabled cloud solutions. At the same time, more stringent requirements around data protection and AI liability are likely to raise development and operating costs. For Salesforce, this means that trust, security, and responsible AI governance function not only as legal requirements but also as strategic sources of differentiation.

Economic Factors

The U.S. software publishing industry remains financially significant, with 2026 revenue of approximately \$567.0 billion and a profit margin of 11.7 percent (IBISWorld, 2026). The global SaaS market reached approximately \$3 trillion in 2022, but recent growth has slowed as enterprises reduce IT spending under higher interest rates and cash-flow pressure (McKinsey & Company, 2025). This has produced a more selective purchasing environment in which customers expect vendors to demonstrate measurable return on investment.

AI presents an important economic opportunity by expanding software value beyond IT budgets and into labor-related spending. McKinsey & Company (2025) argues that AI is transforming software from a tool that enables work into a platform that actively performs work, with the

potential to generate as much as \$4.4 trillion in incremental economic value. For Salesforce, the central economic challenge is proving that its AI tools, including Agentforce and Einstein, generate measurable value for customers.

2016	2023	2024	Present
Salesforce Einstein	Generative AI	Agentforce	The Agentic Enterprise
We introduced the industry's first predictive AI for CRM, bringing machine learning, like Predictive Lead Scoring and Predictive Forecasting, directly into sales and service workflows.	We launched the Trust Layer and introduced generative AI capabilities, such as AI Call Summaries, to securely draft content and summarize records.	We moved from assistants to agents. AI now reasons, plans, and executes tasks autonomously 24/7 across the entire Customer 360 with the Atlas Reasoning Engine.	We've processed over 11trillion LLM tokens, empowering businesses to bring AI and humans even closer together to augment every team and workflow.

Figure 1. Evolution of Salesforce AI Capabilities Toward an Agentic Platform

Social Factors

Enterprise users increasingly expect software to be intuitive and embedded into daily workflows. SaaS products such as Google Workspace, Slack, Zoom, and Salesforce have become standard parts of organizational life, and the rise of hybrid work has further strengthened demand for collaborative, cloud-based platforms that coordinate communication and automate everyday tasks (IBISWorld, 2026). Generative AI tools such as ChatGPT and Microsoft Copilot have made AI visible in everyday professional tasks, and large enterprises spent approximately \$15 billion on generative AI solutions in 2023, indicating that adoption is no longer experimental (McKinsey & Company, 2025).

Social acceptance is not automatic. Many employees worry that AI will replace parts of their work or lessen human judgment in important decisions. For CRM systems, this concern is especially relevant because sales and service teams rely on trust, relationship-building, and

contextual judgment. If AI recommendations appear inaccurate or difficult to explain, users may resist adoption.

Technological Factors

Technological factors are the strongest driver of change in the industry. Cloud computing, SaaS delivery, low-code platforms, and generative AI are changing how software is built and monetized. Application software publishing remains the largest product segment, accounting for 51.7 percent of industry revenue in 2026 (IBISWorld, 2026). AI tools such as GitHub Copilot and TensorFlow are accelerating development cycles by supporting testing, debugging, and code generation, while features like Salesforce Einstein bring predictive analytics directly into CRM workflows.

At a basic level, these capabilities are enabled by large language models that generate outputs based on probabilistic predictions trained on large-scale data. The development of retrieval-augmented generation (RAG) architectures and AI agents has further expanded software functionality. RAG combines a pre-trained language model with an external retrieval-based memory, allowing systems to retrieve relevant documents as supplementary context when generating responses (Lewis et al., 2021). For a CRM platform such as Salesforce, this is highly relevant because the value of AI depends on whether the model can generate accurate, context-specific recommendations based on current customer and operational data.

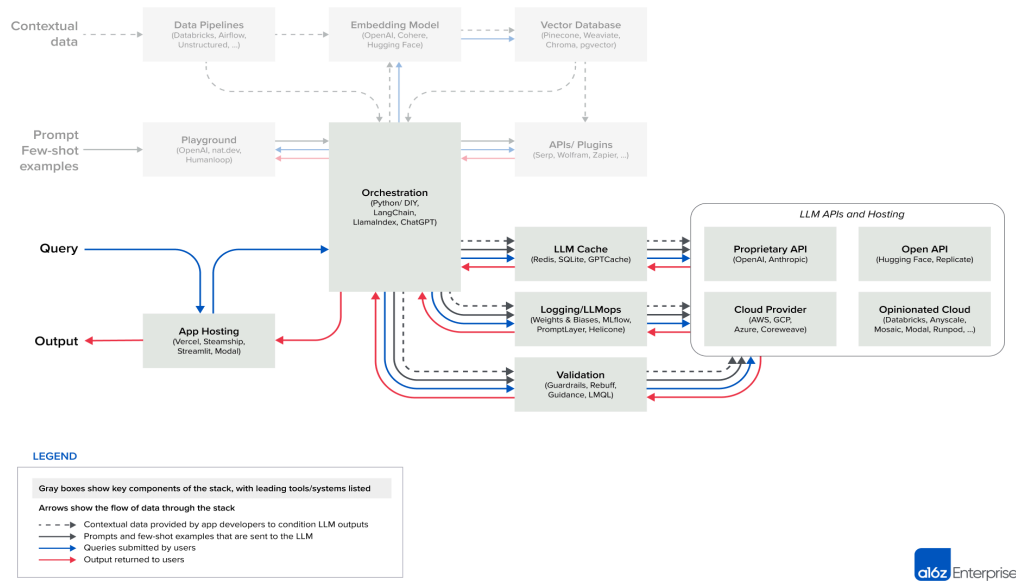
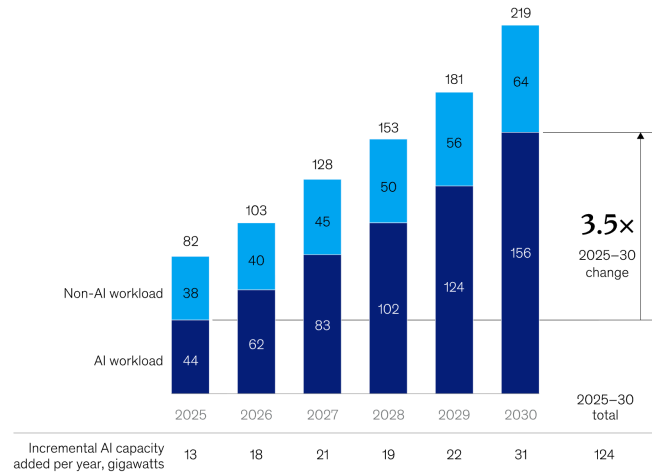


Figure 2. The Emerging LLM Application Stack featuring RAG-based Orchestration (Source: Andreessen Horowitz / a16z)

Technological progress also creates infrastructure challenges. AI-driven software calls for substantial computing power, and global data center demand could more than triple by 2030, reaching at least 170 gigawatts, largely driven by AI workloads. For Salesforce, the key technological challenge is converting its existing CRM ecosystem, customer data, and partner network into a defensible AI platform.

Both AI and non-AI workloads will be key drivers of global data center capacity demand growth through 2030.

Estimated global data center capacity demand, 'continued momentum' scenario, gigawatts



Note: Figures may not sum to totals, because of rounding.
Source: Gartner reports; IDC reports; Nvidia capital markets reports; McKinsey Data Center Demand Model

McKinsey & Company

Figure 3. Projected Growth in Global Data Center Capacity Driven by AI Workloads (2025–2030)

Strategic Conclusion from the PEST Analysis

The PEST analysis shows that AI is not a feature improvement but a structural force transforming the economic, social, and technological foundations of the software publishing industry. Political pressure on data governance, economic demand for measurable ROI, social readiness for AI-assisted workflows, and rapid progress in execution-capable AI are together compressing traditional SaaS value capture as it expands the addressable market for execution-oriented platforms. The Five Forces analysis below examines how these trends translate into specific competitive dynamics.

III. Industry Analysis: U.S. Software Publishing Industry (NAICS 513210) Industry Overview

The U.S. software publishing industry generated approximately \$567 billion in revenue in 2026, with publishers developing and distributing applications that support business operations across CRM, analytics, and productivity (IBISWorld, 2026). The industry is undergoing structural transformation as AI shifts software from a tool that supports user activities into a system capable of autonomously executing and coordinating tasks, increasingly positioning software as a substitute for human labor in certain workflows.

Threat of New Entrants

New competitors pose a serious and growing danger. Due to the widespread availability of development tools and the minimal physical capital required, entry barriers remain low. While AI-assisted coding, low-code platforms, and pre-trained models enable smaller businesses to create competitive products with fewer resources, cloud computing and SaaS have decreased infrastructure needs. There are now more than 17,000 businesses in the sector. AI-native firms that provide execution-focused alternatives are posing a growing threat to the existing client bases and brand recognition of huge incumbents.

Bargaining Power of Buyers

There is a lot of buyer power. The bulk of demand comes from enterprise clients, who view software as an intermediary input meant to increase process efficiency. As such, they are attentive to cost and ROI (IBISWorld, 2026). Businesses with 10 to 100 people usually spend between \$250,000 and \$1 million a year on software, whereas bigger organizations spend between \$40 million and \$100 million. With more than 17,000 companies vying for customers' business, the SaaS model has reduced switching costs and improved price transparency. Customers have more alternatives and are more inclined to switch suppliers in search of quantifiable return on investment as artificial intelligence solutions become available.

Bargaining Power of Suppliers

Supplier power is increasing, but modestly. Data providers, cloud infrastructure providers, and AI model developers are essential to software publishers. Many large publishers can maintain their power through size and long-term contracts, but the growing importance of AI is increasing their need on external infrastructure and specialized computing resources. Growing AI workloads have put pressure on budgets and limited the alternatives available to software manufacturers by increasing the demand for data centers, computing capacity, and specialized hardware.

Threat of Substitutes

One of the most significant drivers in the sector is the great danger of replacements. In the past, traditional SaaS applications, especially CRM systems, have served as instruments to assist users with data management and decision support. This relationship is being radically altered by AI. Workflow automation and job execution without direct human interaction are becoming more and more possible with machine learning solutions. Salesforce has included predictive analytics into its CRM with Einstein, while Microsoft has incorporated generative AI into its enterprise ecosystem through Copilot. As a result of this change, software now plays a more active part in business processes rather than just supporting them. This puts software in direct competition with both human labor and other software. Global enterprise spending on generative AI reached approximately \$15 billion in 2023 and continues to grow rapidly (McKinsey & Company, 2025).

Industry Rivalry

Competitive rivalry is high and intensifying. The industry is fragmented, with the four largest firms accounting for approximately 37.5 percent of total industry revenue (IBISWorld, 2026).

Microsoft holds roughly 22.0 percent market share, followed by Apple at 7.9 percent and Oracle at 5.6 percent, leaving more than 60 percent of the market distributed among smaller competitors. The quick tempo of technological change, particularly in AI, has further intensified competitive pressure. Leading technology firms, including Microsoft, Amazon, Alphabet, and Meta, collectively invested more than \$300 billion in AI technologies and data centers in 2025. Firms increasingly compete not on product features but on their ability to deliver verifiable outcomes, integrate across systems, and capture value through new business models. As enterprises rationalize their software stacks, competition is moving toward platforms that consolidate functions and provide end-to-end solutions.

Future Industry Structure

In the upcoming years, each of the Five Forces is anticipated to change due to the macroenvironmental trends found in the PEST analysis. Product-level entry barriers will stay low, but infrastructural and regulatory obstacles may increase, benefiting well-established businesses that can afford to pay for compliance. As AI-native alternatives spread and business clients want outcome-based pricing, buyer power will increase even more. As AI workloads concentrate leverage in cloud infrastructure providers and specialist hardware vendors, supplier power is expected to increase significantly (McKinsey & Company, 2025).

The threat of substitutes will continue to expand as AI moves from supporting tasks to executing them autonomously, blurring the boundary between software and labor and eroding the defensibility of feature-based competition. Traditional CRM systems are particularly exposed because their core function as systems of record can be absorbed into broader execution platforms. As suppliers fight to dominate the central execution layer rather than offer isolated tools, industry rivalry will get more intense and move toward platform-level competition.

When combined, these changes indicate that value capture will become more divided while overall industry attractiveness will somewhat decrease. Businesses that successfully shift to AI-driven execution platforms with strong ecosystem lock-in stand to gain a disproportionate share of value, whereas traditional SaaS delivery companies face shrinking margins and increased replacement risk.

IV. Situation Analysis: Salesforce

Strengths

Salesforce's value proposition, client connections, important resources, and income streams are all highlighted in its Business Model Canvas. Salesforce's value proposition is based on a highly integrated ecosystem that unifies Slack, Tableau, Sales Cloud, and Service Cloud into a single environment, integrating Salesforce into crucial business operations and increasing switching costs despite further SaaS standards. Strong customer connections, long-term contracts, and high-touch service with important commercial clients increase customer lifetime value and reduce turnover. A important asset is Salesforce's exclusive customer data, which has been gathered over years of business use. Its subscription-based SaaS business model provides consistent cash flow to support continuing R&D investment, and its market leadership in CRM boosts client trust in corporate sales cycles.

Weaknesses

Salesforce's weaknesses stem from its cost structure, key activities, and value proposition. In contrast to the market's trend toward AI-driven execution platforms that do activities rather than store data, its value proposition has traditionally focused on acting as a system of record. Its high cost structure, which results from ongoing acquisitions, large R&D spending, and infrastructure

investments, makes it increasingly challenging to sustain profitability as buyer power and pricing pressure increase. Product complexity also reduces usability since the feature-rich ecosystem results in longer onboarding than simpler AI-native systems. Last but not least, depending on large corporate clients exposes you to powerful consumers who want customization and a measurable return on investment, which increases pressure on price and value delivery.

Opportunities

Salesforce can transform from a system of records into a system of action by integrating AI into workflows in sales, service, and analytics thanks to the emergence of AI-based execution platforms. End-to-end automation is made possible by developments in autonomous agents and GenAI, which boost customer value and give Salesforce a bigger portion of business expenditures, including costs related to labor. Salesforce is positioned as a potential hub for corporate AI applications because of the current ecosystem and platform integration, which lowers overall attrition. Salesforce has potential to scale its AI based products despite growing competition as a result of the rapid adoption of AI across sectors, which also increases the total addressable market (McKinsey & Company, 2025).

Threats

The threat of new entrants is rising as AI lowers development barriers, enabling AI-native firms to build competitive products quickly. AI-driven platforms increasingly substitute for traditional CRM systems by executing tasks directly, challenging Salesforce's core value proposition (IBISWorld, 2026). Buyer power is increasing due to greater price transparency, lower switching costs, and more alternatives, with enterprise customers now demanding clear ROI and making premium pricing harder to sustain. Supplier power is also growing, particularly from cloud

infrastructure and AI providers, as greater dependence on external compute resources may increase costs and reduce flexibility.

Performance of Current Business Model in the Emerging Environment

Although Salesforce's existing business model, which is based on CRM as a system of record and subscription SaaS, is still feasible in the near future, it is becoming more and more out of step with the AI-driven world. A platform for transition is provided by strengths in ecosystem collaboration, proprietary data, and corporate partnerships; however, seat-based pricing and a data-centric value proposition are incompatible with a market where value capture is moving toward outcome-based execution. Salesforce runs the danger of diminished distinction and margin compression if it doesn't adjust. To close this gap, the following section describes business model changes.

V. Business Model Innovation

Given the expected changes in industry structure, including intensifying competition, rising substitution threats, and increasing buyer demand for measurable ROI, Salesforce should redesign its business model around two core modifications: pricing with a focus on outcomes and deeper platform integration.

Transition to Outcome-Based “Execution-as-a-Service” Model

AI is shifting CRM from a system of record to a system of execution, where value is created through automating workflows rather than storing data. Salesforce's traditional seat-based pricing therefore becomes misaligned with how value is generated (Chui et al., 2023). Salesforce should transition toward an Execution-as-a-Service model in which pricing

is tied to outcomes rather than access. This includes charging based on automated workflows such as lead qualification, completed service resolutions, or measurable performance improvements like conversion uplift.

Operationally, this requires embedding AI agents into core workflows and tracking metrics such as automation rate, task completion, and productivity gains as billable units. Linking AI performance directly to financial outcomes aligns Salesforce's revenue model with customer value creation. The model also responds directly to rising buyer power, as enterprise customers demand clear ROI and resist paying for software that does not demonstrate measurable impact (IBISWorld, 2026). Equally important, it differentiates Salesforce from commoditized AI tools by shifting competition from features to outcomes.

Deepening Data and Workflow Lock-in through Platform Integration

As AI lowers barriers to entry, sustained value capture depends on proprietary data, workflow integration, and ecosystem lock-in. Salesforce should strengthen its position as an integrated platform that controls both data context and execution processes. This requires expanding past traditional CRM functionality into a workflow orchestration layer, where Salesforce becomes the central system through which enterprise operations are executed. Salesforce should internalize high-frequency workflows and embed AI directly into them.

At the ecosystem level, AppExchange should evolve from an extension marketplace into a tightly integrated, AI-orchestrated platform. Standardizing data models, APIs, and AI layers guarantees that data remains within Salesforce's system, workflows execute within its environment, and switching costs increase. This strategy mitigates substitution threats and is consistent with enterprise trends toward vendor consolidation (McKinsey & Company, 2025). By

positioning itself as the central execution platform, Salesforce can expand its share of customer spending and strengthen long-term retention despite intensifying competitive pressure.

Before vs. After: Salesforce Business Model Transformation

Dimension	Before (Traditional CRM / SaaS)	After (AI-Driven Execution Platform)
Core Value Proposition	System of record (store & manage customer data)	System of action (execute workflows & deliver outcomes)
Customer Value	Access to software tools	Measurable business outcomes (conversion up, cost down)
Revenue Model	Seat-based subscription (per user)	Outcome / usage-based (per workflow, per result)
Key Metric	User adoption, licenses sold	ROI, automation rate, task completion
Cost Structure	High fixed cost, low marginal cost	Hybrid: compute-driven + scalable infrastructure

Competitive Advantage	Product features & UI	Data + AI + workflow ownership
Switching Costs	Moderate (data migration)	High (data + workflow + AI embedded)
Scope of Offering	CRM-focused modules (sales, service)	End-to-end workflow platform

Ecosystem Role	App marketplace (extensions)	Integrated AI-orchestrated platform
Position in Value Chain	Software provider	Outcome & execution partner
Main Risk	Feature commoditization	Cost control & AI ROI conversion
Industry Positioning	Tool vendor	Platform & workflow owner

Salesforce must evolve from selling software access to owning business execution, where value capture depends on delivering measurable outcomes rather than features (Chui et al., 2023; McKinsey & Company, 2025).

Expected Value and Benefits

Under this transformed model, Salesforce can simultaneously meet rising enterprise demand for measurable ROI and protect long-term value capture as competitive pressure intensifies. Within three years, revenue based on outcomes and usage is expected to account for more than 30% of total revenue; AI-orchestrated workflows are projected to drive a 25% increase in average revenue per enterprise account; and customer retention among AI-enabled accounts could improve by 15%. Taken together, these shifts reposition Salesforce from a CRM software provider to an integrated execution platform capable of capturing value from labor-related spending, in addition to traditional IT budgets.

VI. Conclusion

The U.S. software publishing industry is undergoing a fundamental architectural transformation fueled by artificial intelligence. The PEST analysis shows how technological progress, evolving enterprise demand, and regulatory complexity are changing how software firms create value, while the Five Forces analysis shows that these shifts lower entry barriers, strengthen buyer power, and expand substitution threats, compressing margins and redefining competition.

Although Salesforce benefits from a strong ecosystem, proprietary data, and enterprise relationships, its traditional positioning as a system of record exposes it to substitution risk from execution tools focused on AI.

The evidence shows that companies that use AI to automate their processes are better at competing with other companies and making more profit. By embedding AI into workflows, aligning pricing with measurable effects, and strengthening data, firms can therefore react effectively to rising buyer expectations. Long-term success will depend on whether competitive advantage is built around three major components: execution capability, data ownership, and workflow integration rather than software functionality alone.

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